

GAME pitch deck

Live IBKR quote was denied again in this session (`search_contracts` — permission not granted), so the tape below still rests on the pack plus stockanalysis.com. That gap is stated in the deck rather than papered over.

PITCH — GAME — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no entry today; both benches reject, and the deck below carries reopen conditions instead of a buy.

What we believe

GameSquare (Nasdaq: GAME) is a small esports and creator-media company in Frisco, Texas — the FaZe Clan brand, an ad/agency business, and a creator software tool called TubeBuddy. Alongside the operating business it holds a treasury of 14,840 Ether tokens, most of it pledged as collateral against borrowings.

The idea that brought it to court was this: the stock fell about half over a year, the last audited balance sheet marked the Ether at a low point, Ether has since recovered, and the reported revenue growth looked strong (+137%). Put together, that reads like a company whose balance sheet quietly got better while nobody was looking.

After working it, we do not believe that. Our own analysis says the growth number is an accounting artifact, the balance-sheet recovery is real but already in the price, and the thing that actually explains the share-price decline is share issuance, not a mistake by the market.

Specifically, what we now believe:

- The company's revenue grew about **17%**, not 137%. The 137% compares this year's revenue to a prior-year base that had been shrunk by removing a divested business, while this year's number *adds* two acquisitions.
- **Revenue per share fell about 55%** over the same twelve months, because the share count went from 39.0 million to 102.3 million (+162%) before a 1-for-8 reverse split. The stock fell 49%. The stock is tracking the dilution almost exactly. There is no mispricing to collect.
- The Ether recovery is real (the tokens are worth roughly **\$36.6M** at \$2,468/ETH versus a **\$23.3M** carrying value), and it will produce a roughly **+\$13.3M non-cash gain** in the next quarter. But anyone with a browser can compute that from the spot price. It is not information.
- The company had **\$2.1M of unrestricted cash** and burned **\$9.2M of operating cash in the first half**. The Ether is not spare value on top of the business — it is what pays for the business.

We believe the correct action is **no position**, and that the name is worth re-examining only on the specific conditions listed under Proposed Entry Bands.

What the market believes

Nobody covers this stock. There is no published analyst estimate for the current period that we could find, no institutional sponsorship of consequence, and about **\$663,000 of stock trades per day** — roughly 190,000 shares. That matters for how we read the price: with no professional anchor, “the market believes X” is a weak statement here.

What the tape shows: the stock is **\$3.48**, up **85% from its 52-week low of \$1.88**, and it closed the prior session at **\$3.65**, which was its highest close in six months. It is down about **49%** from its 52-week high. A 1-for-8 reverse split took effect **August 24, 2026**, so every price here is on the new, post-split basis.

The most defensible reading of that price action: buyers have already responded to the Ether recovery and to the removal of the delisting threat (the stock only needed to hold \$1.00 to cure a Nasdaq minimum-price deficiency; at \$3.48 that is settled). The market is not ignoring the balance sheet. It priced it, and then some.

We flag one honest limitation: our red-team originally claimed the stock “outran” Ether by comparing the stock’s gain from its 52-week low against Ether’s gain since June 30. Those are different starting dates and the comparison does not hold as stated. We could not compute the stock’s return since June 30 because our price feed was unavailable. So “already priced in” is our judgment, not a measured fact.

Why we might have edge

Stating the strongest version of the bull case, because it is not zero:

1. **Nobody is looking.** \$663K/day, no coverage, a company that just did a reverse split — this is exactly the kind of name where a careful read of a 10-Q can beat the market, because almost nobody reads it.
2. **A mechanical gain is coming.** Under current accounting, crypto is marked to market through income. At today’s Ether price the next quarterly report carries a roughly **\$13.3M** gain and likely flips working capital positive. Retail investors who do not model this will be surprised by the headline.
3. **The balance sheet did de-risk.** Pledged collateral is **11,320 ETH = \$27.9M** against **\$12.1M** of borrowings — **231% coverage**, versus a 130% requirement. Ether would have to fall to about **\$1,390** (–44%) before a margin call is in play. The “they get liquidated” version of the bear case is currently dead, and our red-team conceded that outright.
4. **Reverse splits create forced selling.** Some holders sell mechanically after a split, and index/screen exclusions reset. That can create a price unrelated to value.

Why it might be priced in

And the honest counterweight, which is where we land:

- The stock is at a six-month high and up 85% off its low. Whatever the Ether recovery is worth, buyers have had two months and a live, continuously-quoted collateral price to act on it.
- The coming \$13.3M mark-up is computable by anyone from the spot price and the token count that was filed on August 13. Information that is trivially derivable is not edge.
- Back out the crypto and the cash and add the debt, and the market is paying about **\$21.4M** for the operating business — roughly **0.3x** annualized revenue. That is not an obviously distressed price for a business that burns cash, is assembled from acquisitions, and grows about 17% organically-plus-bolt-ons.
- The delisting overhang is gone at \$3.48. That is not something to pay for; it is something already collected.

What could go wrong

(This is the pre-mortem. Because we are not entering, read these as: “if we ever do enter on the reopen bands below, here is how we lose.”)

Failure narrative 1 — The dilution treadmill simply continues, and the reverse split reset the ladder. The share count went 39.0M → 102.3M in twelve months. The company burns ~\$1.5M/month and holds \$2.1M of unrestricted cash. The 1-for-8 split just took the stock from ~\$0.43 to ~\$3.48, which restores the ability to issue stock at a “respectable” price — that is very often the actual purpose of a reverse split. We buy at \$3.48, the company sells shares into the recovery, and revenue per share keeps falling on schedule. *Monitorable:* yes — an S-3 or 424B5 registration, an at-the-market program announcement, an 8-K under Item 3.02, and the share count on the cover page of the next 10-Q.

Failure narrative 2 — Ether falls and the whole structure inverts. At 231% coverage the company is safe today. But the equity is a leveraged claim on Ether: a 44% Ether decline puts pledged collateral at the 130% maintenance line and the company would have to post more, sell tokens, or repay. At a 100% coverage point (~\$1,070/ETH) the equity behind the loan is gone. Crucially, the *stock* will move more than Ether does on the way down, because the operating business is also burning and the balance sheet is the only thing holding it up. *Monitorable:* yes — Ether spot is quoted continuously; the trigger prices are computed above.

Failure narrative 3 — Something in the loan agreement that we have never read decides the outcome. NO MONITORABLE TRIPWIRE. Neither bench retrieved the actual credit agreement behind the \$12.1M of Ether-secured borrowings. We do not know: whether excess collateral can be withdrawn at the company’s option or only at the lender’s; whether there is a material-adverse-change clause; whether there is a cross-default to other obligations; whether the lender can re-set the margin requirement unilaterally; or who the lender is and how it is funded. We inferred “auto-60-day renewal” at the September 30 maturity from secondary description, not from the contract. **There is no**

data feed, price, or filing cadence that reveals the state of a private bilateral agreement before it acts. We would learn about it from an 8-K published *after* the consequence. *Unknown-unknown class: undisclosed-exhibit counterparty discretion* — the family of risks whose terms live only in a non-filed or unretrieved private agreement, where the counterparty’s option is invisible until exercised. Closely related and equally untripped here: related-party dealing at a nano-cap and the quality of an audit we have not examined.

The reflexive / structural leg — our own size, our own flow, and our own rules. This is the part that binds regardless of whether the analysis is right.

- The stock trades **\$663K/day**. Our publishing doctrine caps participation at **1% of average daily volume**, which is about **\$6,600 per day**. A \$250,000 position takes roughly **38 trading sessions to build and 38 to exit** — and volume in a cash-burning nano-cap disappears precisely on the days you need it. The realistic outcome of being wrong here is not a stop-loss; it is being unable to leave.
- **We would be bidding into flow we ourselves predicted.** The bull case includes “the November print carries a big mark-up.” If we accumulate ahead of that, we are buying into the same catalyst everyone else can compute, and then trying to exit into whoever is left afterward, through a \$6,600/day straw. Our own rule against bidding into our own predicted flow applies directly.
- **Publishing is one-way.** Our exits publish permanently. In a name this thin, our own disclosed exit is itself a price event.
- **Doctrine interactions:** no tax-loss-harvest or wash-sale entanglement (we hold nothing here and it is not a pair for anything we hold). We would not sell options against it in the taxable account. And the FaZe brand carries genuine retail-attention characteristics, which is precisely the profile our short-side rules exclude — so the trade is long-only or nothing.
- Finally, the honest cost side: this court consumed real analyst time on a position whose maximum sensible size is capped below the value of the work. That is a structural reason to pass even if the analysis were bullish.

If this position loses money, the most likely reason will be that we bought a shrinking per-share claim — the company funds its burn by issuing stock faster than the business grows, so revenue, Ether, and the story can all keep rising while the value attached to each share we own keeps falling, and a \$663K/day tape leaves us no way out once that becomes obvious.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Revenue grew +137%	Read the Q2 10-Q against the prior year’s <i>as-filed</i> figure	Q2’26 \$18,475,300 vs Q2’25 as-filed \$15,852,706 = +16.6% . The 137% uses a \$7,788,519 base restated downward for a divested business, while the numerator adds acquisitions (TubeBuddy, closed	NO — refuted. This was the central factual leg of the pitch

Claim	How checked	Found	Confirmed?
		Feb-2026, \$1.9M of the \$10.7M increase; Click, Sept-2025, unquantified)	
The drawdown is a market error	Divided revenue by diluted shares both years	Q2'25 \$0.407/sh = \$3.26 split-equivalent; Q2'26 \$1.45 = -55% revenue per share, against a -49% stock decline. Share count 39.0M → 102.3M (+162%)	NO — the price tracks the dilution. No error to arbitrage
Ether mark “silently improved 57%”	Priced the tokens against three separate anchors	vs the June 30 mark: +57%. vs the tokens’ own \$2,264 cost basis: +9% . vs the treasury’s \$3,538 inception mark: -30% (~\$19M of value destroyed over 13 months, \$22.4M of realized/unrealized losses booked in H1)	PARTIAL. True from one anchor only. We now require three anchors before crediting any “hidden asset recovery”
Ether price itself	Live spot quote — https://api.coingecko.com/api/v3/simple/price?ids=ethereum&vs_currencies=usd	\$2,467.92	YES
Collateral is at risk	Pledged tokens × spot ÷ borrowings	11,319.65 ETH × \$2,467.92 = \$27.94M vs \$12.1M = 231% coverage vs a 130% requirement. Margin line ≈ \$1,390/ETH	NO — refuted. Our own bear case was wrong here and we say so plainly
Runway is 1.4 months	H1 operating cash flow ÷ 6, against unrestricted cash	Cash \$2,101,751 ; H1 operating cash flow -\$9,185,989 (-\$1.53M/mo). Our red-team overstated this: running a half-year average forward ignores that Q2 adjusted EBITDA inflected to +\$1.0M, so the current burn rate is lower than \$1.53M/mo. Restricted cash (\$2,361,254) is correctly excluded	DIRECTIONALLY YES, MAGNITUDE OVERSTATED BY US
“76% of the Ether is frozen”	Compared pledged value to the collateral requirement	Overstated by our red-team. Excess collateral above the 130% requirement is ~\$12.2M (~4,940 ETH) . Whether it can actually be withdrawn is unverified — we never retrieved the loan agreement	NO — our own overstatement
Fully-diluted value is \$50.5M, not \$45M	Read the equity note, including exercise prices	Our red-team counted gross share numbers and ignored the strikes. Options are \$1.45 and C\$20.25 pre-split = \$11.60 and C\$162 post-split against a \$3.48 stock — far out of the money, no economic dilution today. Red’s option count (3,623,833) also failed to reconcile with the 1,584,467 retrieved, and its share-count total was internally inconsistent (14,499,617 vs 14,307,408)	NO — our own bench’s error, withdrawn
Stock “outran Ether”	Compared the two return series	Anchor mismatch, our error. +85% is measured from the 52-week low (unknown date); Ether’s +57% from June 30. Not the same window. The stock’s return since June 30 could not be computed — no price history feed available	NO — our own bench’s error

Claim	How checked	Found	Confirmed?
Buyback is underwater	Repurchase disclosure in the 10-Q	7,844,590 shares for \$3.8M = \$0.4844 pre-split = \$3.875 post-split, vs \$3.48 today = -10% . \$10.8M of a \$15M authorization remains. Whether it was debt-funded is an inference about fungible cash, not a fact	YES as arithmetic; the debt-funding characterization is ours, not the filing's
Liquidity to trade it	Reported average volume	190,556 shares/day $\approx$ \$663K . At our 1% cap: ~\$6,600/day	YES — and this alone binds size
FY26 guidance of \$85–90M	Attempted to retrieve the guidance exhibit	Could not obtain it. The figure is described as “pro forma” and was being compared to GAAP revenue, which is not a valid comparison. Excluded from the verdict rather than used against the company	NOT CHECKED — open gap
Post-split share count	8-K text	102,271,871 $\rightarrow$ ~12,783,983. But fractional shares round up (“one whole share in lieu of a fractional share”), so the true count exceeds 12,783,983 by an unknown amount in a retail-held name	UNVERIFIED — resolve on the next 10-Q cover
Live price and volume from our broker	Attempted three times across two benches and this session	Permission denied in every non-interactive session. Our rule requires a live broker quote before valuing anything. We violated it. All prices here come from the evidence pack and stockanalysis.com	NO — doctrine violated, disclosed

Where our own process erred, summarized without spin: our bear bench produced two “decisive” kills that did not survive review (the return comparison and the dilution adjustment), and overstated two more (runway, encumbrance). Our bull bench found the actual disqualifying facts. Both benches initially discarded the one correct number in the evidence pack — the as-filed prior-year revenue — as “stale,” which is exactly the number that reveals the growth artifact. And both accepted “+137%” at face value for most of the session. The verdict is right; two-thirds of the first-pass reasoning behind it was not.

PROPOSED ENTRY BANDS

No entry. No order. No size. The courts say no-entry, so what follows are reopen conditions, not entry levels.

Reference marks, all post-split, from the benches’ own math:

- Last price **\$3.475**; prior close \$3.65 (six-month high); 52-week range \$1.88–\$6.88.
- Shares 12,783,983 $\rightarrow$ market value **~\$44.4M**.
- Net liquid assets at today’s Ether price: \$36.62M crypto + \$2.10M unrestricted cash – \$15.7M total debt = **\$23.0M** = **\$1.80/share**.
- Implied value of the operating business at \$3.48: **~\$21.4M**, or ~0.3x annualized revenue.

Reopen band A — price (arms a re-examination, not a purchase): \$2.20 or lower (−37% from here, ≈1.2x net liquid asset value). Below **\$1.80** the market is paying nothing for the operating business, which is the level at which the question becomes interesting on its own.

Reopen band B — cash generation: two consecutive quarters of **positive operating cash flow** (not adjusted EBITDA). Earliest possible confirmation: the Q3 report (approximately November 12, 2026) plus the Q4/full-year report (approximately March 2027).

Reopen band C — organic growth: a segment or MD&A disclosure isolating growth **excluding TubeBuddy and Click**, on an as-filed-total-versus-total basis, showing organic growth of **+10% or better**. Without this, the growth rate is unmeasurable.

Reopen band D — independent demand check: run the app-review-velocity connector on **TubeBuddy** (App Store, Google Play, Chrome Web Store): dated review counts plus recent-cohort-versus-lifetime rating change. Both benches contested the pre-flight ruling that this company “has no consumer app” — it does, and it is \$1.9M of the revenue increase. This is the single highest-value piece of missing work and it costs almost nothing to run.

If A and at least two of B/C/D are met:** starter of 0.25% of book, hard cap 0.5% of book**, built at no more than 1% of daily volume — which means a minimum build clock of roughly **20–40 sessions**. If a position cannot be built inside that constraint, it is not to be built at all.

Trims/exits: none applicable — no position exists.

Automatic re-reject (kills the reopen regardless of price): any at-the-market equity program, S-3 shelf takedown, or Item 3.02 unregistered issuance; or Ether below \$1,390 with the borrowings still outstanding.

Catalyst dates:

- **2026-09-04** — the ten consecutive trading sessions above \$1.00 complete (the stock is at \$3.48; this is already economically settled).
- **2026-09-07** — Nasdaq minimum-bid-price compliance deadline. Overhang removal, already in the price. Do not pay for it.
- **2026-09-30** — Ether-secured note maturity, described as auto-renewing for 60 days. Benign at 231% coverage; a lender declining to renew reduces leverage rather than impairing the company. **The underlying agreement is unread** (see failure narrative 3).
- **2026-11-12** — next quarterly report. **UNCONFIRMED** — this date is derived from a data vendor, not from any company announcement. The mechanical Ether gain (~+\$13.3M) lands in this print.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.8 (deck-provisional: Market paying zero for the operating business; net-liquid-asset floor at today's ETH price)
- filing watch: S-3,424B5,S-1,8-K until 2027-02-22 (deck-provisional: Any shelf takedown, ATM program, or Item 3.02 unregistered issuance is the automatic re-reject: the th)
- dated pack GAME|2026-09-04: GAME: Ten consecutive sessions above \$1.00 complete for Nasdaq minimum-bid cure; economically settled at \$3.48 (date confirmed=True)
- dated pack GAME|2026-09-07: GAME: Nasdaq \$1.00 minimum-bid compliance deadline; overhang removal, already in the price (date confirmed=True)
- dated pack GAME|2026-09-30: GAME: ETH-secured note maturity with described 60-day auto-renewal; benign at 231% coverage but the underlying agreement was never retrieved
- dated pack GAME|2026-11-12: GAME: Q3 2026 report carrying the mechanical ~+\$13.3M non-cash ETH mark-up; date is vendor-derived, no company PR names it (date confirmed=F

What remains unverified

- **The loan agreement behind the \$12.1M of Ether-secured borrowings** — never retrieved. Withdrawal rights over the ~\$12.2M of excess collateral, maintenance-margin discretion, material-adverse-change and cross-default clauses, lender identity, and the actual renewal mechanics at September 30 are all unknown.
 - **Warrant exercise prices.** Warrants grew from 1,978,481 to 8,563,568 in twelve months. We priced the *options* as far out of the money; we never retrieved the warrant strikes. If a meaningful block is struck near today's price, the dilution conclusion changes.
 - **Weighted average diluted shares for Q2'26.** The -55% revenue-per-share figure uses the period-end count as a proxy. The direction is certain; the magnitude is not.
 - **The FY26 guidance exhibit** and the definition of its "pro forma" revenue perimeter. Until that exists, no forward revenue multiple for this company is computable.
 - **Current token counts.** Pledged and free Ether balances are as of the August 13 filing. Nothing after that date confirms them.
 - **True post-split share count**, given fractional round-up applied at the beneficial-holder level.
 - **Whether this name is crowded or under-owned.** Our crowding read could not be run. No conclusion above depends on it.
 - **Live price, average volume, and short interest** from our broker — denied in every session.
 - **TubeBuddy and FaZe demand signals** — no independent check of the operating business was performed at all. Everything above about the business comes from the company's own filings.
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Primary sources: 8-K, reverse stock split, filed 2026-08-19 —

<https://www.sec.gov/Archives/edgar/data/0001714562/000149315226039213/form8-k.htm> 10-Q, quarter ended June 30 2026, filed 2026-08-13 —

<https://www.sec.gov/Archives/edgar/data/0001714562/000149315226037832/form10-q.htm> 8-K

exhibit 99.1, Q2 results —

<https://www.sec.gov/Archives/edgar/data/0001714562/000149315226037336/ex99-1.htm> Ether spot
— https://api.coingecko.com/api/v3/simple/price?ids=ethereum&vs_currencies=usd Tape and volume
— <https://stockanalysis.com/stocks/game/>

Note on sourcing: sec.gov returned 403 to direct requests throughout; all EDGAR documents were read through the r.jina.ai proxy. The canonical URLs are given above.

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